

MGTP 433
Current Issues in the Practice and Regulation of Auditing
Syllabus Spring 2026

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OFFICE HOURS: By appointment

COURSE OVERVIEW AND JUSTIFICATION:

This course examines current issues facing private and public sector accounting institutions and their regulators, including the Public Company Accounting Oversight Board ("PCAOB") and the U.S. Securities and Exchange Commission ("SEC"). The course will examine the challenges, trends and opportunities in the profession of auditing and accounting for those in public accounting firms as well as the firms themselves. How these challenges and trends impact those professionals with clients of public accounting firms will also be explored.

The purpose of MGTP 433 is to introduce students to the regulation and practice of public accounting and the operation of public accounting firms. Topics include the standard setting bodies and the standard setting process relative to Accounting, Auditing and ESG.

FOCUS:

Present, consider and discuss current issues facing public accounting firms including Audit quality, Regulatory and New Accounting Standards, Technology, Automation and Artificial Intelligence, Practice Management, Risk Management and Remote work.

COURSE OUTCOMES:

1. Become familiar with the standard setting bodies and the process by which standards are set by the various bodies.
2. Be aware of how the underlying standards impact the public accounting firms and professionals, clients served as well as other stakeholders.
3. Recognize the importance of and focus on Audit Quality; how Audit Quality is evaluated, measured and reported.
4. Gain an understanding of the structure, operation and practice management of public accounting firms.
5. Possess an awareness of the lines of service within public accounting firms.
6. Develop fundamental knowledge of the focus areas and findings of regulators and evaluators in accounting, reporting and auditing.
7. Be empathetic to the impact of the current issues facing the profession of auditing and public accounting on the clients of the public accounting firms and professionals with whom the public accountant interacts.
8. Gain an appreciation of the impact current issues facing the profession have on global businesses.
9. Communicate effectively both in writing and presentations.
10. Commencing a career in public accounting, or the finance team of an organization, with an understanding of how the current issues facing the profession of accounting and auditing will impact you and your organization, currently and in the time to come.

WEEKLY TEACHING THEMES AND READING ASSIGNMENTS:

Week 1 31 March	Reading (due)	No reading due
	Weekly Quiz	No weekly quiz
	Lecture	Class introduction
	Lecture	US GAAP Hierarchy
	Discussion	Group project
Week 2 7 April	Reading (due)	US Accounting Regulation
	Reading (due)	Preventing another Madoff: Reengineering the SEC's Investigative Process
	Weekly Quiz	Topics: Prior week lectures, Reading due today, as assigned
	Lecture	Regulators: PCAOB, SEC, etc. – history, role and responsibilities
	Discussion	Group project
Week 3 14 April	Reading (due)	PCAOB Efforts to Improve Audit Quality
	Reading (due)	How Clients' Expectations of CPAs are Evolving
	Weekly Quiz	Topics: Prior week lectures, Reading due today, as assigned
	Lecture	Standard setting bodies: Accounting, Auditing and ESG
	Project	Group Presentations
Week 4 21 April	Reading (due)	Webcast replay: PwC's Sustainability reporting 101 - Back to basics
	Reading (due)	Can the SEC Make ESG Rules that are Sustainable?
	Weekly Quiz	Topics: Prior week lectures, Reading due today, as assigned
	Lecture	Guest Speaker (subject to change)
	Project	Group Presentations
Week 5 28 April	Reading (due)	Webcast replay: PwC's Quarterly Accounting webcast
	Reading (due)	2024 AICPA & CIMA Conference on Current SEC and PCAOB Developments
	Weekly Quiz	Topics: Prior week lectures, Reading due today, as assigned
	Lecture	Guest Speaker (subject to change)
	Project	Group Presentations
Week 6 5 May	Reading (due)	Earnings Conference Calls: Hewlett-Packard Company
	Reading (due)	The SEC Is Scrutinizing "Earnings Management Practices"
	Reading (due)	SEC Staff Accounting Bulletin No. 99_Materiality
	Reading (due)	SEC.gov Assessing Materiality Focusing on the Reasonable Investor When Evaluating Errors
	Weekly Quiz	Topics: Prior week lectures, Reading due today, as assigned
	Lecture	Accounting and Auditing Hot Topics
	Project	Group Presentations
Week 7 12 May	Reading (due)	Correcting Sight and Accounting at LCA-Vison Inc
	Reading (due)	Cutter & Buck
	Reading (due)	Checklist: Partner-Ready Metrics
	Weekly Quiz	Topics: Prior week lectures, Reading due today, as assigned
	Lecture	Public Accounting: Practice Management, Guest Speaker (subject to change)
	Project	Group Presentations

Week 8	Reading (due)	Bidding on new audit clients: Avoiding the winner's curse
19 May	Reading (due)	How CPA Firms Can Remain Competitive
	Reading (due)	What I Wish I'd Known Before Becoming a Partner
	Weekly Quiz	Topics: Prior week lectures, Reading due today, as assigned
	Lecture	Public Accounting: Practice Management, Guest Speaker (subject to change)
	Project	Group Presentations
Week 9	Reading (due)	Microsoft's Financial Reporting Strategy
26 May	Reading (due)	Financial Reporting at Mattel
	Reading (due)	Lessons learned: From audit partner to consultant
	Reading (due)	A baseball player was ready to go pro when a scout threw him a curveball
	Reading (due)	Mark Cuban Says This Popular Career Advice Is Completely Wrong
	Weekly Quiz	Topics: Prior week lectures, Reading due today, as assigned
	Lecture	Guest Speaker (subject to change)
	Discussion	Final Exam Review, Q&A
	Project	Group Presentations, if needed
Week 10	Reading (due)	No reading due week prior to Final Exam
2 June	Weekly Quiz	Topics: Prior week lectures
	Lecture	Guest Speaker (subject to change)
	Discussion	Final Exam Review, Q&A
	Project	Group Presentations, if needed
9 June		
11:30a-2:30p	Final Exam	Final Exam

EVALUATION AND GRADING:

Your course grade will be based on the following deliverables:

Meaningful Participation/Quizzes	30%	90 points
Speaker Advance Prep & Reflections	10%	30 points
Group Project, including peer reviews	30%	90 points
Exam	30%	90 points

POINTS DISTRIBUTION

A 94 – 100* Points	C 74 - 76
A- 90 - 93	C- 70 - 73
B+ 87 - 89	D+ 67 - 69
B 84 - 86	D 64 - 66
B- 80 - 83	D- 60 - 63
C+ 77 - 79	F 0 - 59

* A+ 97-100

Determination of letter grade: .5 will be rounded to the next whole number.

PARTICIPATION:

You are expected to be prepared for class, constructively participate in class discussions and contribute to your group project.

QUIZZES:

Each class will start with a very brief In-person quiz that covers (1) the lecture content from the prior class and (2) readings assigned and due for that class. These quizzes are not expected to be tricky or exceedingly challenging; rather, meant to simply ensure that you are reading the Assignments and reviewing the prior week's notes. You may drop the lowest score.

SPEAKER ADVANCED PREP.:

In advance of a guest joining our class there will be an individual assignment to complete. The assignment will include you researching the speaker's experiences and accomplishments. Your findings will be posted to a class discussion board along with topics you would like addressed by our guest as well as questions you have for the speaker.

SPEAKER REFLECTIONS:

Following presentations by our Guest you will be asked to submit a short paper (not to exceed 200 words). The paper should include your reflection on what you heard and learned from the speaker(s).

GROUP PROJECT:

In summary, students will work in small groups to prepare a presentation to the class and lead a discussion addressing a subject of interest to the group related to current issues in the practice and regulation of accounting and/or auditing. More detailed project requirements will be provided in class and posted to Canvas.

FINAL EXAM:

Consistent with the requirements of the CPA exam, students will be given a closed-note, closed-book exam which will ensure that they have achieved the learning objectives of the course.

SYLLABUS CHANGES:

The outline presented herein is the existing plan for the quarter, however, to best achieve the learning objectives, it is subject to change as needed. Any changes to the syllabus will be communicated with ample time in advance of any deadlines via digital means and in class.

ACADEMIC INTEGRITY:

Integrity of scholarship is essential for an academic community. As members of the Rady School, we pledge ourselves to uphold the highest ethical standards. The University expects that both faculty and students will honor this principle and in so doing protect the validity of University intellectual work. For students, this means that all academic work will be done by the individual to whom it is assigned, without unauthorized aid of any kind.

The complete UCSD Policy on Integrity of Scholarship can be viewed at:

<http://senate.ucsd.edu/Operating-Procedures/Senate-Manual/Appendices/2>

Any breach of the UCSD Policy on Integrity and Scholarship will be reported in accordance with and required by UCSD policies.

STUDENTS WITH DISABILITIES:

A student who has a disability or special need and requires an accommodation in order to have equal access to the classroom must register with the Office for Students with Disabilities (OSD). The OSD will determine what accommodations may be made and provide the necessary documentation to present to the faculty member.

The student must present the OSD letter of certification and OSD accommodation recommendation to the appropriate faculty member to initiate the request for accommodation in classes, examinations, or other academic program activities. No accommodations can be implemented retroactively.

Please visit the OSD website for further information or contact the Office for Students with Disabilities at (858) 534-4382 or osd@ucsd.edu.